

Project Context — Next

About the Business

Next plc is a British multinational fashion retailer selling clothing, footwear, accessories, and home products. The company operates over 450 physical stores in the UK and Ireland, a major online platform (Next Online) serving millions of active customers, and approximately 200 international franchise stores across 34 countries.

Next reported record pre-tax profits of £1.15 billion for the fiscal year ending January 2026, with total group sales growing over 10% year-on-year. Online now accounts for more than 60% of total group sales, with physical stores stabilising as brand showrooms and Click & Collect hubs.

The company also operates Next Finance, its own credit facility that allows customers to spread payments over time — a high-margin segment that drives customer retention. Additionally, Next runs the Total Platform, leasing its backend infrastructure (website, warehousing, distribution) to third-party brands like Reiss, FatFace, and Joules for a commission.

Channels and Touchpoints

- **Website (next.co.uk)** — full product catalogue, wishlist, online ordering, style inspiration, customer reviews, Next credit account management
- **Mobile App** — personalised recommendations, barcode scanning for in-store price checks, Click & Collect booking, order tracking
- **Physical Stores** — 450+ UK and Ireland locations, fitting rooms, in-store returns, Click & Collect pickup, increasingly designed as larger format stores combining clothing, home, and third-party brands
- **Next Directory** — home shopping catalogue and online service with over 3 million active customers
- **Next Finance** — credit account allowing customers to buy now and pay later, linked to loyalty and retention

Click & Collect is a significant and growing channel. Customers order online and pick up in store, often adding purchases during collection visits.

Customer journeys are non-linear — a customer might discover an item on social media, browse on the app during a commute, visit a store to try it on, and complete the purchase on the website.

Competitive Landscape

Next operates in a highly competitive UK and European fashion retail market:

- **Marks & Spencer** — strong brand trust, omnichannel presence, food and clothing combination drives footfall
- **John Lewis** — premium positioning, strong online experience, partnership model with employee ownership
- **ASOS** — pure online, strong with younger demographics, but struggling with declining GMV
- **Primark** — value fashion, physical stores only, no online sales — drives massive footfall
- **Zara / H&M** — fast fashion competitors with stronger trend cycles and global scale
- **Shein / Temu** — ultra-fast fashion at lowest price points, competing on volume and speed
- **Boohoo** — pure online, fast fashion, declining performance

Next differentiates on quality, reliability, and its middle-market positioning. The company has also become a platform business through Total Platform, turning competitors into customers.

Business Challenges

Key areas the business is looking to improve:

- **Cross-channel customer recognition** — customers who browse online are not consistently recognised when they visit a physical store. Preferences, wishlists, and credit account history are not always accessible to store staff.
- **Loyalty and retention** — Next Finance (credit account) functions as an informal loyalty mechanism, but there is no formal points-based or tiered loyalty program that spans all channels. Competitors are investing heavily in loyalty as a cross-channel connector.
- **Store associate enablement** — store staff lack tools to access customer context. They cannot see online browsing history, wishlist items, or purchase patterns to personalise the in-store experience.
- **App engagement** — the app has been downloaded but engagement could be stronger. Customers often default to the mobile website rather than the app.
- **Personalisation consistency** — the website offers personalised recommendations but the in-store and app experiences do not consistently leverage browsing or purchase data.
- **Third-party brand integration** — as Total Platform grows, the experience of shopping third-party brands (Reiss, FatFace, Joules) alongside Next own-brand needs to feel

seamless, not fragmented.

- **Delivery and returns** — customers expect flexible delivery (next-day, same-day, Click & Collect, locker pickup) and frictionless returns across channels.
 - **Data silos** — customer data, inventory data, credit account data, and transaction data sit in separate systems. This is the underlying infrastructure challenge behind most experience gaps.
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Internal Environment

Different teams manage different parts of the customer experience:

- **Digital Product** — manages next.co.uk, mobile app, and online checkout
- **Retail Operations** — manages in-store experience, store staffing, visual merchandising
- **Next Finance** — manages credit accounts, payment services
- **Total Platform** — manages third-party brand integration, warehousing, distribution
- **Customer Service** — handles post-purchase support across channels
- **Marketing** — manages CRM, email, social media, brand campaigns
- **Supply Chain** — manages inventory, warehousing, delivery logistics, sourcing

Systems are not always aligned across these teams. The Total Platform infrastructure is sophisticated for third-party brands but the internal customer experience systems have not always kept pace.

Customer Behaviour Patterns

Customers engage with Next in a variety of ways:

- Browsing on mobile during commutes, saving items for later
- Visiting stores to try on items discovered online, especially for fit-dependent categories
- Using Click & Collect to combine online convenience with store immediacy
- Spreading purchases over time using Next Finance credit accounts
- Shopping across categories in a single visit (clothing, accessories, home, third-party brands)
- Returning online purchases in-store for faster processing
- Following the brand on social media for style inspiration and sale alerts

For higher-value purchases (coats, formalwear, shoes), customers research online extensively before visiting a store. For everyday basics and repeat purchases, online-only buying is common. Next Finance customers tend to have higher basket sizes and stronger retention.

Key Terminology

Term	Usage
Next Online	The website and online shopping service
Next Directory	Home shopping catalogue and online platform
Next Finance	Credit account facility for spread payments
Total Platform	Backend infrastructure leased to third-party brands
Click & Collect	Buy online, pick up in store
Store associate	Not "shop assistant" or "sales staff"
